THE BURTON INN

Lease Terms Sheet

24007 Vashon Highway SW, Vashon (Burton), Washington 98070

Draft v0.3 — July 11, 2026 — prepared from the July 2026 Rent Basis & Owner Return prospectus

> **How the Lease fits together.** *This Lease Terms Sheet, together with the* **Standard Lease Terms** *and the* **Definitions & Glossary** *that accompany it, forms one Commercial Lease Agreement (the "Lease") for the Premises. This Terms Sheet states the deal-specific terms; the Standard Lease Terms state the operating and legal terms that apply to them; the Glossary defines capitalized terms. Where this Terms Sheet is silent, the Standard Lease Terms control;* **in the event of any conflict, this Terms Sheet prevails.** *The economic structure below implements the deal described in "The Burton Inn — Rent Basis & Owner Return" (July 2026).*

PARTIES AND PREMISES

Landlord. The Burton Landing LLC, a Washington limited liability company.

Tenant. eBerry LLC, a Washington limited liability company.

Premises. The entire building commonly known as The Burton Inn, together with the underlying land, parking, and grounds, located at 24007 Vashon Highway SW, Vashon (Burton), Washington 98070, legally described on **Exhibit A**. The Premises comprise the whole building and grounds; there are no common areas, proportionate-share allocations, or landlord relocation rights.

TERM

Initial Term. Ten (10) Lease Years — **July 1, 2026 through June 30, 2036** — unless extended under Article 3 of the Standard Lease Terms or earlier terminated as provided in the Lease.

Commencement Date. July 1, 2026. Possession has been delivered to and accepted by Tenant.

Lease Years. Each Lease Year runs July 1 through June 30. "Lease Year 1" is July 1, 2026 – June 30, 2027.

Extension Option. One (1) option to extend for five (5) years (July 1, 2036 – June 30, 2041), on the same terms except this option and the Lease Year 1 Base Rent abatement, exercisable by written notice given 9–15 months before the end of the Initial Term, per Section 3.5 of the Standard Lease Terms.

RENT AND FINANCIAL TERMS

Base Rent. $1,650.00 per month ($19,800 per year), fixed for the entire Term with no escalation.

Base Rent Abatement. Base Rent is fully abated for all of Lease Year 1 (July 1, 2026 – June 30, 2027). Base Rent commences **July 1, 2027** (the "Rent Commencement Date"), the first day of Lease Year 2.

Percentage Rent. Ten percent (10%) of Gross Revenue in excess of the Breakpoint, payable in every Lease Year including Lease Year 1.

Breakpoint. $198,000 per Lease Year (the natural breakpoint: annual Base Rent ÷ 10%). Fixed for the Term; prorated only for a partial final Lease Year.

Percentage Rent Reporting. Monthly Gross Revenue statements; quarterly remittance on a cumulative basis; annual certified reconciliation; owner audit rights against POS records, with Tenant bearing audit cost only if an understatement exceeds **ten percent (10%)** — per Article 5 of the Standard Lease Terms.

Triple-Net Expenses. From **August 1, 2026** (Landlord carries July 2026) and in every Lease Year including Lease Year 1, at actual cost: real property taxes (currently about $8,500/yr), Landlord's building-insurance premiums (currently about $6,500/yr), and routine maintenance and upkeep (currently about $375/mo). Approximately $19,500/yr at today's costs. Tenant also pays all utilities directly.

Security Deposit. None.

Guaranty. None.

USE

Permitted Use. Operation of an inn with up to four (4) guest rooms; a cocktail bar and restaurant with beer, wine, and spirits service; ticketed chef's dinners, tastings, and culinary events; pop-up, takeaway, and counter food service; rental of the commercial kitchen as a commissary to licensed food businesses; private events and venue hire; and ancillary uses including retail sale of merchandise and provisions — all as further described in Article 7 of the Standard Lease Terms.

BUILD-OUT AND BUILDING SYSTEMS

Tenant's Work. Tenant-funded interior fit-out of approximately $98,000, in two phases (guest rooms first; kitchen, bar, and events approximately three months later), per **Exhibit B**. Improvements attached to the building remain with the building (Article 8 of the Standard Lease Terms).

Landlord's Retained Scope. Roof and structure, and the capital building systems (fire suppression and HVAC, about $50,000) described on **Exhibit C**, financed separately from the rent structure (optionally per **Exhibit D**).

Alterations Consent Threshold. After completion of Tenant's Work, structural Alterations and non-structural Alterations exceeding **$5,000** per project require Landlord's consent (Article 8.4 of the Standard Lease Terms).

OTHER DEAL TERMS

Operating Covenant. Continuous operation from the Opening Date, with up to six (6) weeks of seasonal closure per Lease Year (Article 5.7 of the Standard Lease Terms).

Purchase Rights. None. Any future sale of the building is a separate negotiation (Article 19 of the Standard Lease Terms).

Notice Addresses (Article 21 of the Standard Lease Terms).

- **To Landlord:** The Burton Landing LLC, 24007 Vashon Highway SW, Vashon, WA 98070.
- **To Tenant:** eBerry LLC, 24007 Vashon Highway SW, Vashon, WA 98070.

Exhibits. Exhibit A — Legal Description; Exhibit B — Tenant's Work; Exhibit C — Landlord's Capital Systems; Exhibit D — Optional Capital Systems Loan (election).

SIGNATURES

By signing below, Landlord and Tenant agree to this Lease, comprising this Lease Terms Sheet (with its Exhibits), the Standard Lease Terms, and the Definitions & Glossary.

LANDLORD: The Burton Landing LLC, a Washington limited liability company

By: ______________________________ Name: _____________________ Title: _____________________ Date: ____________

TENANT: eBerry LLC, a Washington limited liability company

By: ______________________________ Name: _____________________ Title: _____________________ Date: ____________

Notary acknowledgments to be attached (required for a lease term exceeding two years under Washington law).

EXHIBIT A: LEGAL DESCRIPTION

The Premises are legally described as follows (abbreviated legal description, King County records):

S 100 FT OF N 130 FT OF W 150 FT OF E 180 FT OF GOVT LOT 2 IN NE QTR STR 19-22-03

(That is: the south 100 feet of the north 130 feet of the west 150 feet of the east 180 feet of Government Lot 2 in the northeast quarter of Section 19, Township 22 North, Range 3 East, W.M., King County, Washington.) If the full legal description in Landlord's vesting deed differs, the vesting deed controls.

EXHIBIT B: TENANT'S WORK (TENANT-FUNDED FIT-OUT)

Tenant shall fund and perform the following fit-out, with a total anticipated investment of approximately Ninety-Eight Thousand Dollars ($98,000). Line amounts are Tenant's planning estimates; the obligation is to complete the described scope lien-free, not to spend a particular amount.

- **Flooring** — repair, refinish, and/or replace flooring throughout the guest rooms and public areas.
- **Paint** — full interior repaint; exterior touch-up as reasonably needed for opening.
- **Kitchen retrofit and permits** — commercial kitchen build-out sufficient for restaurant, bar, chef's-dinner, and commissary operation, including equipment, ventilation, and all required health-department and building permits.
- **Furnishings** — guest-room, bar, and dining furnishings and fixtures appropriate to a small destination inn.

Phasing. Phase 1 (before the Opening Date): guest rooms, associated public areas, and life-safety basics. Phase 2 (target: approximately three months after the Opening Date): kitchen, bar, and events spaces.

Ownership. Per Article 8.3 of the Standard Lease Terms, the fit-out (including flooring, finishes, the kitchen retrofit, and built-in furnishings) is attached to the building and remains with the building at the end of the tenancy, regardless of how the tenancy evolves.

EXHIBIT C: LANDLORD'S CAPITAL SYSTEMS (OWNER SCOPE)

The following capital building systems are Landlord's scope and cost (approximately $50,000 combined budget), scoped and financed separately from the rent structure:

- **Fire suppression system** — design, permitting, and installation as required by code for the Permitted Use (including lodging and commercial kitchen operation).
- **HVAC** — replacement or installation of heating, ventilation, and air-conditioning serving the Premises. (Routine maintenance thereafter is Tenant's under Article 9.1; full replacement remains

Landlord's under Article 9.2 of the Standard Lease Terms.)

Timing. Landlord shall complete each system as needed to support Tenant's phased opening — at minimum, any component legally required for Phase 1 before the Opening Date, and the remainder before the Phase 2 opening — subject to Force Majeure and Tenant cooperation. Landlord may finance this scope with the Exhibit D loan, or otherwise at Landlord's election.

EXHIBIT D: OPTIONAL CAPITAL SYSTEMS LOAN (ELECT ONE OPTION OR STRIKE)

D.1 The Loan. If Landlord prefers not to fund the Exhibit C systems from its own resources, Tenant shall lend Landlord up to Fifty Thousand Dollars ($50,000) (the "Loan"), advanced as Exhibit C costs come due, at exactly Tenant's cost of funds: the Wall Street Journal Prime Rate plus three percent (3.00%) per annum (9.75% as of July 2026) — no spread, no profit to Tenant on the Loan. The Loan is evidenced by a separate promissory note. This Exhibit is separable: electing or declining it does not change any other term of the Lease, and if Landlord declines, this Exhibit is struck.

D.2 Option A — Repayment Through Rent Credits. Landlord's cash rent (Base Rent plus Percentage Rent, but *not* Triple-Net Expenses, which continue to be paid in cash throughout) is credited against the Loan balance as it comes due, until principal and accrued interest are fully retired, after which all rent resumes in cash. Interest accrues on the outstanding balance at the D.1 rate. Illustratively, at the conservative floor the Loan clears during Year 4 (total interest about $13,833); at target performance, early Year 3. Credits are self-adjusting: they scale with actual rent, so there is no fixed payment obligation on Landlord.

D.3 Option B — Amortized Note. Landlord repays the Loan in equal monthly installments fully amortizing over twenty (20) years at the D.1 rate fixed as of the funding date (approximately $474 per month at 9.75%; total interest over the full 20 years about $63,822). Landlord may prepay at any time without penalty, and may instead elect a ten (10) year amortization (approximately $654 per month at 9.75%; total interest about $28,500). Rent flows to Landlord untouched from day one.

D.4 Election. Landlord elects: [ ] Option A (rent credits) — [ ] Option B (amortized note, ____-year) — [ ] Decline (Exhibit struck). Landlord initials: ________

End of the Lease Terms Sheet for The Burton Inn — Draft v0.3, July 11, 2026. To be read with the Standard Lease Terms and the Definitions & Glossary.